


# Equity Group Plc: HY'22 Earnings Note

Equity Group HY'22 net earnings edged up **35.32%** y/y to **KES 24.43Bn** while EPS also jumped **35.27%** to **KES 6.29.** The impressive growth in bottom-line was mainly driven by a 26.44% growth in operating income to **KES 65.65Bn** weighed down by a 23.64% y/y growth in Total Operating Expenses to **KES 34.73Bn** and a **28.00%** contribution from subsidiaries. Customer deposits grew 18.45% y/y to **KES 970.94Bn** while the loan book increased faster at 28.86% y/y to **KES 650.56Bn**, taking the loan to deposit ratio 541bps higher to 67.00%. Loan book growth was driven by highest increase in lending from DRC, Uganda and Rwandan markets while deposits mobilization through digital channels was highest in DRC, Kenya and Uganda. At the current growth rate, we expect the lender to close FY'22 at a PAT of **KES 49.33Bn** being a 23.11% y/y growth

We continue to see the effect of the yield curve steepening as the fair value loss from government securities, at **KES 38.95Bn**, compared to the FVOCI securities jumped to 11.09% higher than 0.81% in HY'21. We do not foresee the FV losses having a negative impact on the share price as the most Eurobond yields have started to cool off and the lender's indication of slowed uptake of government securities (6.26% q/q decline).

- **DRC Subsidiary - a shrewd acquisition:** Equity BCDC in DRC recorded an impressive 89.00% y/y surge in PAT to **KES 3.00Bn** driven by improving macro-economic conditions. BCDC continues to be the most profitable regional subsidiary and we estimate BCDC to close the year with a PAT of KES 6.00-7.00Bn. The subsidiary's ROaE of 20.00% in HY'22 (versus 12.60% in HY'21) remains below the group's average of 28.90%. Additionally, we remain concerned about the high cost to income ratio (64.30% in HY'22 vs Group's CIR of 46.68%) and we expect BCDC costs to remain the highest, of all subsidiaries, as it is still in the investment phase. We also noted impressive PAT performance by the Rwandan (+38.00% y/y to KES 1.10Bn) and Ugandan (+19.00% y/y to KES 1.50Bn) subsidiaries. However, we noticed that the Tanzanian subsidiary lag the others with the highest NPL (23.80%), lowest ROaE (10.70%) and ranking poorly in other metrices.

- **Interest Income betters digital-driven NFI growth:** Net Interest Income surged 27.76% y/y to **KES 39.80Bn** on the back of a return to lending as seen by a 20.77% y/y rise in interest income. Allocation to government papers rose 15.70% y/y (-6.26% q/q) while loans grew 28.86% y/y as the lender changed strategy to focus on lending following the approval of the risk-based model. Yield on assets and cost of funding increased to 9.53% and 2.65%, respectively leading to the Net interest margin (NIM) also increasing to 6.89%. Non-Interest income grew 24.45% to **KES 25.84Bn** mainly driven by trade finance lending which grew 106.00% y/y to KES 34.40Bn and digital transaction banking (99.00% transactions are outside the branch). Forex trading income grew 23.29% y/y highlighting the impact of diaspora remittance partnerships, regional dollar shortage and widening spreads from Kenya shilling depreciation. Therefore, the revenue mix shifted to 61:39 for NII:NFI from 60:40 in HY'21.

23rd August 2022

Target price: KES 63.23

Current price: KES 48.35

Upside: 30.77%

Recomm: BUY

52 Week High: KES 54.25

52 Week Low: KES 39.00

EPS (HY'22): KES 6.29

**Equity Group 1-Year Share Price Movement**



- **Asset quality improves:** Gross NPL decreased 1.88% y/y to **KES 61.03Bn** following enhanced collections leading to the NPL Coverage increasing to 68.73%. Management also revealed that 27.19% of the Covid restructured loan book amounting to KES 46.60Bn had been fully repaid with KES 114.00Bn having resumed payment. NPL ratio improved 258bps to **8.85%** from **11.43%** in HY'21, which is below the current industry average of **14.70%.** We expect the bank's asset quality to continue improving as the sector recovers from the impact of the pandemic and the risk-based model reducing loan pricing opacity.

**Our Overview and Outlook -** We observed a healthy balance sheet expansion driven by customer deposits and loan book growth. Net earnings were driven by revenue from lending, digital channels even though loan impairment and Opex increased. We expect regional subsidiaries, use of digital channels and Forex trading revenue to drive Non-interest Income. The bank's lending will be supported by the focus on more SME credit and sector specific initiatives such as trade finance and infrastructure funding in subsidiary markets in Rwanda, Uganda and DR Congo. We expect the yield on loans to improve driven by the approval of the risk-based model by CBK. We maintain our BUY recommendation with a conviction that the counter is currently undervalued with a PE of 4.67x below the market PE of 7.80x and P/TB of 1.32x.

## Table 1 : Financial Statement Summary

| Income Statement | FY'18 | FY'19 | FY'20 | H1'21 | FY'21 | H1'22 |
|---|---|---|---|---|---|---|
| Net Interest Income | 41,422.19 | 44,982.36 | 55,148.79 | 31,154.66 | 68,810.97 | 39,803.84 |
| Net non-Interest Income | 25,861.37 | 30,780.05 | 38,508.08 | 20,767.07 | 44,575.42 | 25,844.50 |
| Total Operating income | 67,283.56 | 75,762.41 | 93,656.87 | 51,921.72 | 113,386.39 | 65,648.33 |
| Provision for Impairment | (3,713.52) | (5,302.57) | (26,631.27) | (2,912.47) | (5,844.71) | (4,086.98) |
| Total Operating expenses | (38,820.61) | (44,284.98) | (72,664.47) | (28,090.75) | (61,505.37) | (34,730.40) |
| Profit before tax | 28,462.95 | 31,477.43 | 22,169.79 | 23,830.97 | 51,881.02 | 30,917.94 |
| **Profit after tax** | **19,823.93** | **22,385.98** | **19,789.40** | **17,547.52** | **40,968.80** | **23,745.28** |
| Core EPS | 5.25 | 5.98 | 5.24 | 4.75 | 10.38 | 6.29 |
| DPS | 2.00 | 2.50 | - | - | 3.00 | - |

| Balance Sheet | FY'18 | FY'19 | FY'20 | H1'21 | FY'21 | H1'22 |
|---|---|---|---|---|---|---|
| Government Securities | 130.44 | 138.57 | 1,757.00 | 202.58 | 394.10 | 365.02 |
| Loans and Advances | 297.23 | 366.44 | 477.85 | 504.85 | 587.78 | 650.56 |
| **Total Assets** | **573.38** | **673.68** | **1,015.09** | **1,119.74** | **1,304.91** | **1,333.86** |
| Customer Deposits | 422.76 | 482.75 | 740.80 | 819.68 | 958.98 | 970.94 |
| Total Liabilities | 478.43 | 561.91 | 876.45 | 964.66 | 1,128.72 | 1,183.47 |
| **Total Equities and Liabilities** | **573.38** | **673.68** | **1,015.09** | **1,119.74** | **1,304.91** | **1,333.86** |

| Key Ratios | H1'2021 | H1'2022 | y/y change |
|---|---|---|---|
| Yield from Assets | 9.03% | 9.53% | 0.50% |
| Cost of Funding | 2.45% | 2.65% | 0.20% |
| Net Interest Margin | 6.58% | 6.89% | 0.31% |
| NFI/Total Operating Income | 40.00% | 39.37% | -0.63% |
| NII/Total Operating Income | 60.00% | 60.63% | 0.63% |
| Non-Performing Loans (NPL) | 11.43% | 8.85% | -2.58% |
| Cost to Income Ratio | 48.49% | 46.68% | -1.81% |
| Loan to Deposit Ratio | 61.59% | 67.00% | 5.41% |
| Return on Average Equity | 25.63% | 28.86% | 3.23% |

Source: Company filings, AIB-AXYS




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